MSF 505 Fall 2025 Term Project by Devadharshini Mantharasalam Suganthi

Trading Report 1 – V

OVERVIEW

Visa Inc. (V) is a U.S. based global payment technology company that is listed on NYSE. It operates one of the world's largest electronic payment networks which facilitates secure digital transactions between consumers, businesses and financial institutions. This company earns revenue mainly from processing fees on credit, debit and prepaid card payments by helping enable the global shift toward cashless and digital payments.

PRETRADE ANALYSIS

FUNDAMENTAL ANALYSIS

Visa reported FY2025 revenue of $40 billion up, 11% year over year with 8% growth in payment volume and 13% in cross border transactions. Net Income went up to $20.1 billion, showing strong profitability by 50% net margin and 60% operating margin on $23.99 billion in operating income. The company maintained 0.52 times debt to equity ratio and achieved 53% return on equity. Visa showed strong liquidity by generating $21.6 billion in free cash flow and $23.1 billion in operating cash flow. It strengthened its financial stability by returning value to shareholders through $4.6 billion in dividends and $18.3 billion in buybacks. Visa's fundamentals remain highly resilient highlighting stability.

TECHNICAL ANALYSIS

Visa's stock is trading currently around $340 after its earlier upward movement. The RSI at 43 suggests that the stock is slightly oversold indicating potential possible short-term recovery. The MACD is flat with mild bearish momentum and suggesting the trend remains neutral rather than strongly down. Price action stays above support at $338 and below resistance at $353 resulting in tight range. A break above resistance would likely result in bullish momentum, while holding above support signals price stability. Volume trends indicate consistent interest from investors but no clear short term direction making volatility-based strategy reasonable.

OUTLOOK

Visa posted results for the third quarter of 2025, with $10.2 billion in revenue, up 14% compared to previous year and earnings per share of $2.98 above analyst expectations. A consensus of analysts rains positive with a price target near $391 as Visa has been focused on its digital wallets and new partnerships with fintech firms. The company's stock recently fell about 2.5% after the U.S. Senate passed a stablecoin bill that could let merchants bypass card networks. Visa also continues to face regulatory pressure and increased competition which may slow its growth in the short term.

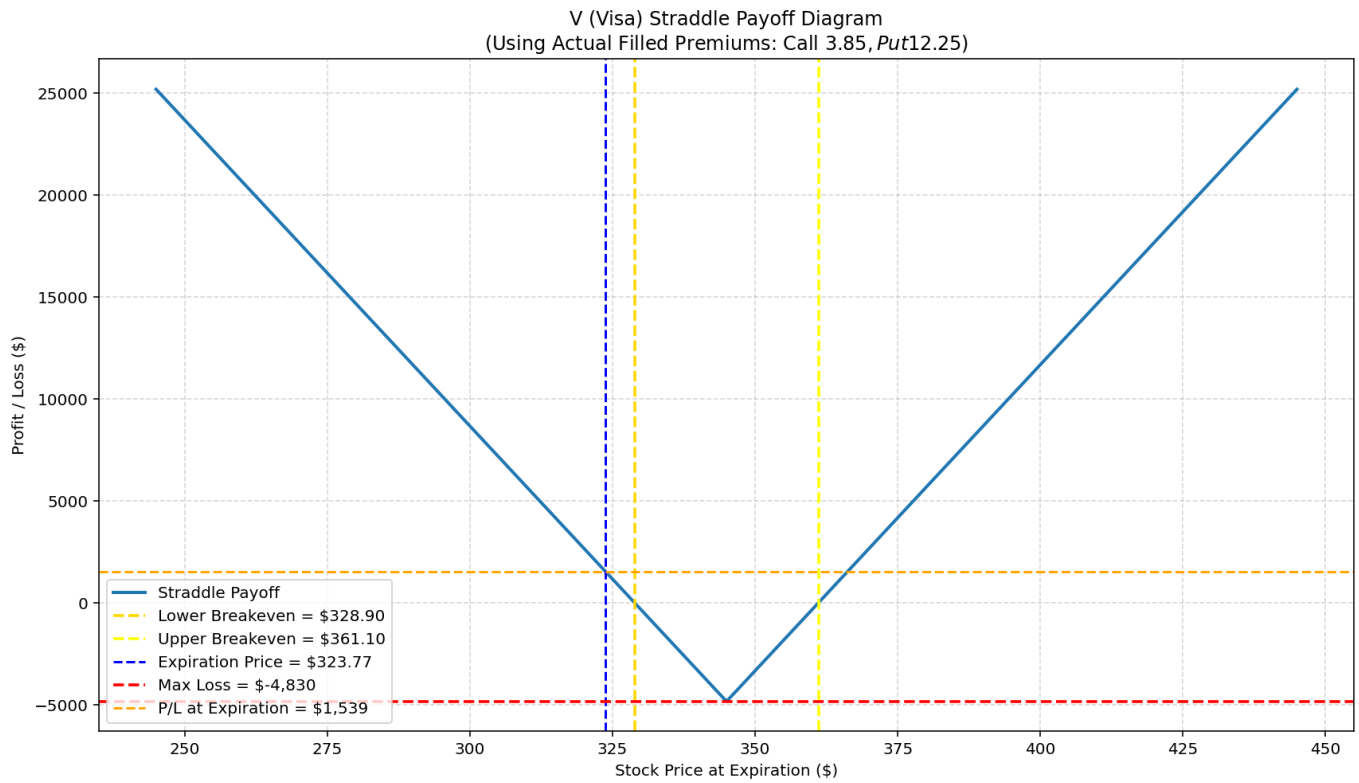
RECOMMENDED OPTION APPROACH

V Stock Price of November 3rd2025- $336.9

The expiration is November 20,2025. (18 Days)

I had chosen the straddle strategy because Visa's strong fundamentals, but uncertain short-term direction implied the potential for a meaningful price move in either direction. This strategy let me benefit from volatility without having to predict whether the stock would rise or fall.

Position	No. of Contracts	Expiration Date	Strike price	Ask price	Total cost	Breakeven point	Max loss	Max profit
Long Call	3	28-Nov	$345	$3.85	$1155	$361.10	$1155	Unlimited
Long Put	3	28-Nov	$345	$12.25	$3675	$328.9	$3675	$98,670



POST TRADE ANALYSIS

- I initiated a long straddle on Visa with the purchase of 3 calls and 3 puts at the $345 strike, paying a total of $4,830. This strategy needed a big jump either up or down to make money. The price in Visa did indeed move lower during the trade to $323.77, which was quite enough to overcome the breakeven point at $328.90 and $361.10. Since the price moved down the lower breakeven point, the trade generates a profit of $1,539 as reflected in the payoff diagram.
- Visa's stock fell mainly because of regulatory news. A U.S. stablecoin bill created worry that merchants might one day bypass Visa's network, which could hurt fee revenue. There was also general concern about competition from fintech's and continued government scrutiny of the payments industry. These issues pushed the stock down slightly through the lower breakeven point, but not sharply.
- The fundamentals for Visa remained strong even with the fall having solid revenue growth, high margins and consistent cash flow. This also means the stock typically doesn't experience huge swings, making the payout for an expensive straddle more difficult unless a huge event occurs.
- The key lesson is that a straddle only works well when the stock makes a big move, not just a small one. Although Visa trading in a tight range, regulatory concern during the period worked enough for the trade to succeed.
- Overall, it was a safe and defined-risk way to play uncertainty. In this case, the downward move was strong enough to produce a profitable outcome with final payoff of $1,539.

APPENDICES

Overview:

https://corporate.visa.com/en/about-visa.html

https://www.reuters.com/business/visa-beats-quarterly-estimates-resilient-consumer-spending-but-steady-forecast-2025-07-29/?

Fundamental analysis:

https://s1.q4cdn.com/050606653/files/doc_financials/2025/q4/Q4-2025-Earnings-Release_vF.pdf

Technical analysis:

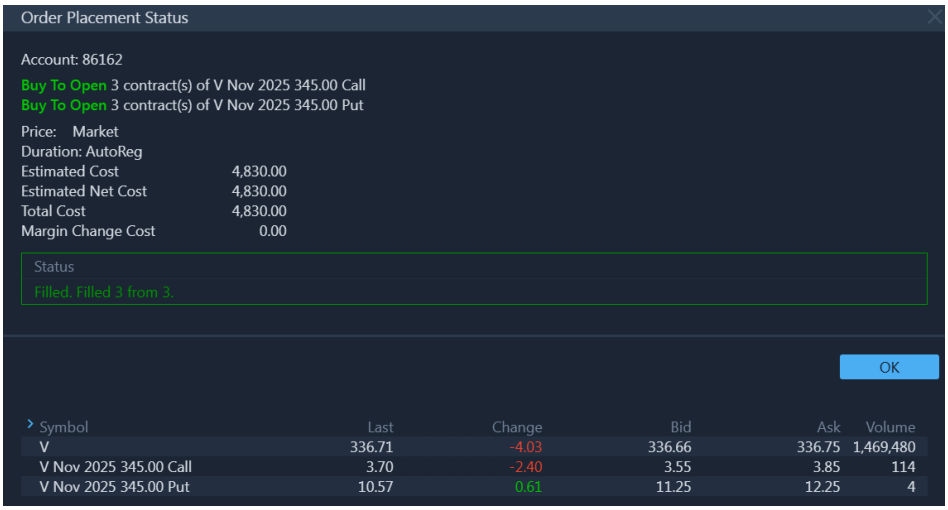
Outlook:

https://www.investing.com/news/transcripts/earnings-call-transcript-visas-q3-2025-earnings-exceed-expectations-93CH-4158710?

https://www.tradingnews.com/news/visa-stock-price-forecast-nyse-v-growth-accelerates-on-digital-wallet?

https://247wallst.com/forecasts/2025/11/01/visa-v-price-prediction-and-forecast-2025-2030/

Option price:



Order Placement Status

Account: 86162

Buy To Open 3 contract(s) of V Nov 2025 345.00 Call
Buy To Open 3 contract(s) of V Nov 2025 345.00 Put

Price: Market
Duration: AutoReg

Estimated Cost	4,830.00
Estimated Net Cost	4,830.00
Total Cost	4,830.00
Margin Change Cost	0.00

Status
Filled. Filled 3 from 3.

OK

Symbol	Last	Change	Bid	Ask	Volume
V	336.71	-4.03	336.66	336.75	1,469,480
V Nov 2025 345.00 Call	3.70	-2.40	3.55	3.85	114
V Nov 2025 345.00 Put	10.57	0.61	11.25	12.25	4